INVESTMENT COMMITTEE · AUGUST 2026 · FOR APPROVAL

451 White Horse Pike, Atco NJ

Recommendation: acquire at $1,100,000, all cash. Ceiling $1,250,000.

A corner drive-thru on a Philadelphia–shore highway, bought at the value of the building alone — with 2.5 developable acres thrown in for nothing.

PURCHASE PRICE	GOING-IN CAP RATE	10-YR UNLEVERED IRR	10-YR UNLEVERED IRR
$1.10M	**12.0%**	**15.0%**	**+6.1%**
$250/SF · they ask $1.6M	Yr-1 NOI $132,000 ÷ price	Renewal case · 19.4% levered IRR	Floor case · −1.1% levered IRR

Why it is cheap: the sitting cannabis tenant pays 36% over market rent. We refuse to pay for rent that leaves with them — so we bid what the building is worth let to a bank or a doctor, and take everything else as free option value.

All returns in this deck are 10-year unlevered IRRs from a single model. The 12.0% above is a year-one cash yield, not a return.

The whole deal on one page.

PURCHASE PRICE	INDICATED VALUE	10-YR UNLEVERED IRR	10-YR UNLEVERED IRR
$1,100,000	**$1,252,500**	**6.1–18.3%**	**15.0%**
$250/SF · 12.0% going-in cap	Weighted, four methods	Range across all four cases	Renewal — the likeliest case

WHAT IT IS

A 4,400 SF corner building on **3.13 acres** at US Route 30 and Cooper Folly Road, Atco NJ. Former bank branch with a vault and a **3-lane drive-thru**. 15,370 cars a day.

Let to a single-location cannabis dispensary at **$132,000/yr absolute NNN** with 6.5 years left. No rent increases. Two personal guarantees, no corporate covenant.

Asking **$1,600,000**.

WHY WE CAN BUY IT WELL

The dispensary pays **$30.00/SF**. Any ordinary tenant pays **$22.00**. That premium belongs to their licence, not our building, and it leaves when they do.

So we bid what the building is worth let to a bank or a doctor. **85% of the $500,000 gap** between their price and ours is that single question.

At our price the cannabis rent, the renewal option and **2.5 spare acres are free.**

WHY THE DOWNSIDE IS CONTAINED

68% of our price is covered by land and empty shell alone. **78%** of it comes back as contracted rent before the lease even ends.

Break-even rent is **$21.25/SF** against a $22.00 market. **All four modelled outcomes make money** — the worst returns 6.1%.

The honest caveat: a 55% mortgage turns the worst case into a **1.1% annual loss**. Cash or lower leverage keeps every case positive.

WHAT WE ARE ASKING THE COMMITTEE TO APPROVE

An offer of $1,100,000, all cash, 30-day diligence, 15-day close — with authority to $1,250,000. Walk away above $1,300,000. Two items gate the growth case and must be confirmed in diligence: the tenant's sales figures, and whether the lease demises all 3.13 acres.

A corner drive-thru on a shore-bound highway, on three acres it barely uses.

THE PROPERTY

Address	451 White Horse Pike (US Route 30), Atco — Waterford Township, Camden County NJ
Building	±4,400 SF freestanding Tax assessor records show 4,206 SF — measure before closing
Site	**±3.13 acres** — building covers just 3.2%
Position	**Corner** of Route 30 and Cooper Folly Road Two frontages: signage both ways, and entry off the side road instead of across highway traffic
Built	1960 as a bank branch; refitted 2023 Vault and secure infrastructure still in place — a bank can move straight back in
Feature	**3-lane drive-thru** — rare, and the reason the tenant pool is wide
Traffic	±15,370 vehicles a day, Philadelphia to the Jersey Shore
Zoning	Planned Highway Business; Pinelands *Regional Growth Area* The most development-friendly of the six

THE TENANT AND THE LEASE

Tenant	Holistic Solutions — NJ medical and adult-use cannabis dispensary Founded 2018. One location. Private. Three-plus years trading here
Covenant	**Two personal guarantees** No parent company, no credit rating, no financials in the offering
Lease type	**Absolute NNN** — tenant pays taxes, insurance, maintenance, roof and structure Genuinely valuable: the landlord has no obligations at all
Term	1 Feb 2023 to 31 Jan 2033 — **6.5 years left**
Rent	**$132,000/yr — $30.00/SF, flat** No increases for the entire ten-year term. This is the flaw we buy at a discount and intend to fix
Option	One 5-year renewal at $154,000, entirely at the tenant's choice A 14.0% yield on our basis if they take it — upside, never underwritten as income

THE TWO FEATURES THAT DRIVE THIS WHOLE ANALYSIS

They are selling us a rent that walks out the door. We are buying the building underneath it.

WHAT WE ARE BUYING

Property	4,400 SF freestanding building on **3.13 acres**, corner of US Route 30 and Cooper Folly Road Former bank branch. Vault, 3-lane drive-thru, big parking field. 15,370 cars a day.
Tenant	Cannabis dispensary, **one location**, private Three years trading here. Two personal guarantees, no corporate covenant.
Lease	**$132,000/yr, absolute NNN**, 6.5 years left Tenant pays taxes, insurance, roof, structure. Landlord does nothing. No rent increases.
Asking	**$1,600,000** — an 8.25% yield Priced as if $30/SF were a market rent. It is not.
We offer	**$1,100,000** — a 12.0% yield $250/SF, below replacement cost and below the county's own valuation.

THE WHOLE THESIS

The dispensary pays **$30/SF**. Any ordinary tenant pays **$22**. That 36% premium belongs to their licence, not to our building — and it disappears when they leave.

So we refuse to pay for it. We bid what the building is worth let to a bank or a doctor: **$1.1M**.

WHAT THAT BUYS US FOR NOTHING

- 6.5 years of **above-market** cannabis rent
- The tenant's renewal option at $154,000
- A 3-lane drive-thru on a corner
- **2.5 undeveloped acres** — the growth

The $500,000 gap is one argument, not five.

BRIDGING THEIR ASK TO OUR OFFER

Their ask $132,000 contract rent ÷ 8.25%	$1,600,000
1. Use market rent, not their tenant's rent $22.00/SF = $96,800, capitalised at the same 8.25%	($426,700)
2. Widen the yield for lease quality 8.25% → 8.75% for flat rent, 6.5 years, personal guarantees	($67,000)
3. Negotiating margin	($6,300)
Our offer $250/SF · a 12.0% yield on the rent in place	**$1,100,000**

WHAT THIS MEANS AT THE TABLE

85% of the gap is a single question: is $30.00/SF a market rent? Everything else is rounding. Do not negotiate the cap rate — negotiate the rent, and let their own comps settle it.

WHAT THEY SAY — AND HOW WE READ IT

THEIR SELLING POINT	OUR READ
"8.25% cap rate"	Right arithmetic, wrong rent. On *market* rent their price is a **6.05% cap**
"Absolute NNN, zero landlord obligations"	**Agreed** — genuinely valuable, and part of why our floor holds
"3-lane drive-thru"	**Agreed** — the best feature in the deal and the reason the tenant pool is wide
"±3.13 acres, room to expand"	**Agreed** — and we value it at *zero*, so it is free to us
"Below replacement cost"	At their $363/SF, barely. At our $250/SF, decisively
"Double personal guarantee"	Two individuals is not a covenant. Worth ~75bps, not a headline
"Barrier-to-entry licensed industry"	Cuts both ways — only two licences in the township means a **thin** re-let market for cannabis

Every lease comp, both sides, one schedule.

#	ADDRESS	CITY	PROPERTY TYPE	SF	RENT/SF	ANNUAL RENT	D/T	SOURCE	STATUS
–	**451 White Horse Pike**	**Atco**	**Freestanding, cannabis**	**4,400**	**$30.00**	**$132,000**	**3-lane**	**—**	**SUBJECT**
1	1390 Blackwood-Clementon Rd	Clementon	Coffee kiosk, build-to-suit	510	$303.92	$155,000	Yes	THEIRS	In place
2	501 Delsea Drive	Sewell	Retail, second-hand	1,373	$39.33	$54,000	No	THEIRS	Signed 5 Jul
3	340 S White Horse Pike	Berlin	Freestanding retail	1,750	$27.43	$48,000	Yes	OURS	Asking
4	804 N White Horse Pike	Magnolia	Former Arby's, 38 spaces	3,035	n/a	n/a	Yes	OURS	On request
5	341 N White Horse Pike	Lawnside	Retail, second-hand (Avis)	3,300	$27.96	$92,268	n/a	THEIRS	Signed 5 Jun 25
6	69 NJ Route 73	Voorhees	QSR, build-to-suit (Wendy's)	3,321	$47.47	$157,659	Yes	THEIRS	In place
7	301 White Horse Pike	Chesilhurst	Convenience + fuel, BTS (Wawa)	5,585	$58.19	$325,000	Yes	THEIRS	In place
8	625 N Black Horse Pike	Blackwood	Pharmacy, BTS (Walgreens)	14,870	$31.19	$463,823	Yes	THEIRS	In place
9	142 NJ Route 73	Voorhees	Grocery big box (ALDI)	19,054	$12.96	$246,950	No	THEIRS	In place
10	706 N White Horse Pike	Magnolia	Flex / industrial	40,000	$11.50	$460,000	No	OURS	Asking
11	2 S White Horse Pike	Stratford	Freestanding QSR, corner	n/a	n/a	n/a	Yes	OURS	On request
12	Submarket average — retail	Berlin	All formats	–	$21.00	–	—	OURS	Survey
13	Submarket average — retail	Sicklerville	All formats	–	$20.00	–	—	OURS	Survey
14	Submarket average — retail	Hammonton	All formats	–	$20.00	–	—	OURS	Survey
15	Submarket average — retail	Atco	In-line strip space	–	$13.00	–	—	OURS	Survey
16	Medical space average	New Jersey	Medical	–	$24.00	–	—	OURS	Survey

D/T = DRIVE-THRU · BTS = BUILD-TO-SUIT · ROWS 1, 6, 7, 8 ARE BUILD-TO-SUIT: RENT REPAYS LAND *AND* CONSTRUCTION, NOT COMPARABLE TO A SECOND-HAND LETTING

Adjusted to our building: $21.52–$24.78. We underwrite $22.00.

#	COMPARABLE	CITY	SF	RENT/SF	SIZE ADJ	LOCATION	TERM	NET	ADJUSTED RENT/SF	BASIS OF ADJUSTMENT
1	**501 Delsea Drive**	Sewell	1,373	$39.33	−30%	−10%	–	−37%	$24.78	3.2× smaller; term not disclosed
2	**340 S White Horse Pike**	Berlin	1,750	$27.43	−20%	–	–	−20%	$21.94	2.5× smaller; same market; has drive-thru
3	**341 N WHP (Avis Budget)**	Lawnside	3,300	$27.96	−10%	−10%	−5%	−23%	$21.52	Signed Jun-25; 3-yr term; denser location
–	**INDICATED RANGE**	$21.52 – $24.78 mean $22.75 median $21.94							**Three second-hand lettings**	
–	**CONCLUDED MARKET RENT**	$22.00 / SF = $96,800 per year							**Low end of the range, deliberately**	
–	**IN-PLACE CANNABIS RENT**	$30.00 / SF = $132,000 per year a 36% premium							**Expires with the tenant**	

EXCLUDED FROM THE GRID, AND WHY

COMPARABLE	SF	$/SF	REASON FOR EXCLUSION
7 Brew, Clementon	510	$303.92	Build-to-suit — rent repays land + construction
Wendy's, Voorhees	3,321	$47.47	Build-to-suit
Wawa, Chesilhurst	5,585	$58.19	Build-to-suit; includes fuel
Walgreens, Blackwood	14,870	$31.19	Build-to-suit; national credit; legacy rent
ALDI, Voorhees	19,054	$12.96	4.3× subject size; different product
706 N WHP, Magnolia	40,000	$11.50	Flex / industrial — different use class
804 N WHP, Magnolia	3,035	n/a	Rate not published — closest analogue, call the agent

CROSS-CHECK: REGRESSION ON SECOND-HAND COMPS ONLY

BUILDING SIZE	FITTED RENT/SF
1,373 SF	$34.27
1,750 SF	$32.49
3,300 SF	$27.85
4,400 SF — subject	$25.74
19,054 SF	$15.00
Fit quality	$R^2 = 0.89$

READ THIS LINE

Regression says **$25.74**. The grid says **$21.52–$24.78**. **We use $22.00** — at or below both. Every return in this deck is struck on the conservative number.

Cannabis net lease trades 7.40% to 9.35%. We buy at 12.00%.

#	COMPARABLE	MARKET	PRICE	GOING-IN CAP	TERM LEFT	GUARANTEE	RENT BUMPS	STATUS
1	**STNL all-tenant average**	United States	–	6.80%	–	Mixed	—	Q1-2026
2	**Jungle Boys**	Naples, FL	–	7.40%	n/a	Corporate	2% / yr	Listing
3	**Cookies**	Kalamazoo, MI	$3,100,000	8.25%	10 yrs	Corporate	—	Listing
4	**SUBJECT at their ask**	Atco, NJ	$1,600,000	8.25%	6.5 yrs	2 personal	NONE	Asking
5	**LivWell**	Aurora, CO	$1,025,000	8.87%	n/a	Corporate	—	**CLOSED**
6	**Ascend**	Pennsylvania	–	9.25%	n/a	Corporate	—	Listing
7	**Curaleaf**	Worth, IL	–	9.35%	n/a	Corporate	10% / 5 yrs	Listing
–	**SUBJECT at our offer**	**Atco, NJ**	$1,100,000	12.00%	6.5 yrs	**2 personal**	**NONE**	**OUR BID**

ATTRIBUTE COMPARISON — SUBJECT VS THE COMP SET

ATTRIBUTE	COMP SET	SUBJECT	EFFECT
Guarantee	Corporate / MSO	2 individuals, 1 shop	Worse
Rent bumps	2%/yr or 10%/5yr	None at all	Worse
Rent vs market	At or near market	36% above	Worse
Term remaining	8–15 yrs typical	6.5 yrs	Worse
Market backdrop	Mixed	NJ: 300+ shops, −23%	Worse
Real estate	Varies	Corner, drive-thru, 3 ac	Better
Local competition	Varies	2-licence township cap	Better
Fair cap rate for this asset			9.25–10.25%

VALUATION SUMMARY — FOUR METHODS

METHOD	INDICATED VALUE	WEIGHT	VS OUR OFFER
Current income @ 9.75%	$1,353,800	40%	+23%
Tax assessor equalized	$1,271,000	20%	+16%
County $/SF × 4,400	$1,201,200	15%	+9%
Market rent @ 8.75%	$1,106,300	25%	+0.6%
WEIGHTED VALUE	$1,252,500	100%	+14%
OUR OFFER	$1,100,000	–	$250 / SF
THEIR ASK	$1,600,000	–	28% over value

Four ways this plays out. All four make money.

6.1% FLOOR — UNLEV. IRR

8.4% BASE — UNLEV. IRR

15.0% RENEWAL — UNLEV. IRR

18.3% GROWTH — UNLEV. IRR

TEN-YEAR UNLEVERED IRR — ALL CASH, ON A $1,100,000 PURCHASE

OUTCOME	WHAT HAS TO HAPPEN	10-YR UNLEVERED IRR	TOTAL CASH RETURNED (EQUITY MULTIPLE)	NET PROFIT	HOW LIKELY
Renewal	**The tenant takes its five-year option at $154,000. No void, nothing for us to spend.**	**14.95%**	**$3,061,865** 2.78× equity multiple	**$1,961,865**	**Likeliest**
Growth	**We let the spare land from year 3 *and* re-let the building to a medical tenant on a lease with increases.**	**18.33%**	**$3,999,438** 3.64× equity multiple	**$2,899,438**	**If we execute**
Base	Tenant leaves. Twelve months empty. We re-let at ordinary market rent and never touch the land.	**8.40%**	**$1,928,561** 1.75× equity multiple	**$828,561**	Realistic
Floor	Tenant fails. Eighteen months empty. We re-let at the very bottom of the market. Land never touched.	**6.13%**	**$1,634,677** 1.49× equity multiple	**$534,677**	Downside

THE ONE SENTENCE

Across every outcome we can model, the money comes back with a profit — with an equity multiple between **1.49× and 3.64×**. The question is not whether this works, it is how well.

CAREFUL WITH ONE NUMBER

The **12.0%** on the cover is the *going-in cap rate* — year-one NOI divided by price. The column above is the *ten-year unlevered IRR*. Two different measures; they are not meant to match.

The same four outcomes, with every standard metric.

For reference — the slide before this one carries the decision.

ACQUISITION — FIXED IN EVERY CASE

Purchase price	$1,100,000
Price per square foot	$250.00
Gross leasable area	4,400 SF
Year-1 NOI (absolute NNN)	$132,000
In-place rent per SF	$30.00
GOING-IN CAP RATE	12.00%
Cap rate on market rent ($22/SF)	8.80%
Cap rate at their $1.6M ask	8.25%

DEBT — 55% LTV, 10.0%, 25-YR AMORTISATION

Loan amount	$605,000
Equity required	$495,000
Loan constant	10.90%
Annual debt service	$65,972
DSCR, year 1	2.00x
DEBT YIELD (NOI ÷ loan)	21.8%
Break-even occupancy	50% of rent
Loan balance, year 10	$511,596

CASH-ON-CASH — YEAR 1

Unlevered cash flow (= NOI)	$132,000
Unlevered cash-on-cash (= cap rate)	12.00%
Cash flow after debt service	$66,028
LEVERED CASH-ON-CASH	13.34%
Simple payback, unlevered / levered	8.3 / 7.5 yrs

RETURNS BY CASE — 10-YEAR HOLD, PURCHASE AT $1,100,000

METRIC	FLOOR	BASE	RENEWAL	GROWTH
Exit NOI	$81,180	$99,220	$154,000	$208,240
Exit (terminal) cap rate	9.00%	8.75%	9.25%	8.00%
Sale price, year 10	$902,000	$1,133,943	$1,664,865	$2,603,000
UNLEVERED IRR	6.13%	8.40%	14.95%	18.33%
Total cash returned	$1,634,677	$1,928,561	$3,061,865	$3,999,438
Equity multiple, unlevered	1.49x	1.75x	2.78x	3.64x
Profit over the hold	$534,677	$828,561	$1,961,865	$2,899,438
LEVERED IRR	−1.08%	6.29%	19.40%	24.43%
Equity multiple, levered	0.94x	1.53x	3.82x	5.71x
Average cash-on-cash, yrs 1–9	1.3%	2.3%	14.6%	13.3%
Yield on cost at stabilisation	7.4%	9.0%	14.0%	16.7%

THE SAME FOUR CASES AT THEIR $1,600,000 ASK

METRIC	FLOOR	BASE	RENEWAL	GROWTH
Unlevered IRR	0.31%	2.59%	8.88%	12.25%
Levered IRR	−39.93%	−12.13%	7.77%	14.15%
DSCR 1.38x · debt yield 15.0% · cash-on-cash 5.0% · payback 12.1 yrs	Most lenders decline below 1.35x			

WHAT THESE TERMS MEAN

Cap rate Year-one rent divided by price. A snapshot yield, not a return over time.

IRR The annual return over the whole ten years, counting rent and the sale together.

Cash-on-cash Cash in your pocket each year divided by cash you put in.

Equity multiple Total money back divided by money in. 2.0× means you doubled it.

DSCR Rent divided by the loan payment. Lenders want 1.25× or better.

THE TWO RED FIGURES

With debt, the worst case returns **−1.08%** and **0.94x** — slightly less back than you put in. Unlevered that case is still 6.13% and 1.49x. **Buy for cash, or keep leverage at 35–40%,**

Six tenants want this building.
The two best need almost no work.

WHO TAKES IT	RENT/SF	YIELD ON COST	VOID PERIOD	LANDLORD CAPITAL	LEASE TERM	DO THEY STAY?
Urgent care, dental, vet Deepest pool in South Jersey; drive-thru becomes a covered patient drop-off	$22–26	8.8–10.4%	12–17 mo	$264,000	10–15 yrs	**Yes — they sink capital in and never move**
Bank or credit union The building already is one — vault, drive-thru and teller line all transfer	$22–26	8.8–10.4%	6–10 mo	$22,000	10–15 yrs	**Yes — cheapest and fastest route back to rent**
Another cannabis operator	$28–34	11.2–13.6%	12–18 mo	$66,000	10 yrs	Yes, but only two licences exist in the township
Fast food or coffee drive-thru	$38–48	7.6–9.6%	18–24 mo	$286,000	15–20 yrs	Yes — but needs the box split; better on the spare land
Daycare or nursery	$18–22	7.2–8.8%	18–30 mo	$308,000	10–15 yrs	Yes, but slowest to start
Ordinary shop or service	$18–22	7.2–8.8%	8–12 mo	$132,000	5–10 yrs	No — rolls every five years. The outcome to avoid

THE OBJECTIVE: ONE RE-LETTING, NOT PERPETUAL CHURN

We want a **single** re-letting to a tenant on a 10–15 year lease **with rent increases** — then it goes quiet for a decade. That is

HOW LONG, STEP BY STEP

Find a tenant	4–9 mo	Agree the lease	2–3 mo

The building sits on 3.13 acres. It uses 3% of them.

IDLE LAND	INCREMENTAL NOI	VALUE CREATED	YR-1 YIELD ON COST
2.48 ac	**$100k**	**$1.10M**	**12% → 21%**
Coverage is 3.2% of the site	Per year, on land earning zero	NOI ÷ 8.0% exit cap, less $150k cost	NOI ÷ total cost, same basis

TWO INCOME STREAMS, NEITHER OF THEM PAID FOR

$80,000 **Annual ground rent — pad.** Fast food, coffee, car wash or a medical building. The tenant builds at their own cost; we let them the dirt.

$20,000 **Annual licence fee — EV charging.** Six to eight rapid chargers. The operator funds all the equipment and pays us a share of revenue.

> **THE SELLER'S OWN COMPS PROVE THIS**
>
> He sent us drive-thru pad deals on this exact kind of highway: **7 Brew at $155,000 a year, Wendy's at $157,659, Wawa at $325,000.** Those are build-to-suit rents; a ground lease runs 40–55% of that. Our $80,000 is the conservative read.

WHAT IT DOES TO THE DEAL

Buy at our offer	$1,100,000
Monetise the spare land	$2,508,000
Re-let building on a proper lease	$2,492,000
Ordinary tenant → it becomes mortgageable	$2,653,000
Less land works, fit-out, letting fees	($466,800)
Sale price in the growth case	**$2,603,000**

2.4× our entry price at year 10 — and the $150,000 of land cost and $317,000 of fit-out are already run through the cash flow on the returns slide, not netted here.

Our price is what makes this financeable at all.

High-street banks will not lend against a cannabis-let building — which is exactly why these assets sell cheap. This needs a private lender or credit union at roughly 9–11%. At our price the numbers work comfortably. At theirs, a lender would decline.

PURCHASE PRICE	LOAN 55% LTV	EQUITY REQUIRED	ANNUAL DEBT SERVICE	DSCR	LEVERED CASH-ON-CASH YR1	LEVERED IRR 10-YR RANGE
$1,100,000 our offer	$605,000	$495,000	$65,972	2.00×	13.3%	6.3–24.4%
$1,250,000 — ceiling	$687,500	$562,500	$74,968	1.76×	10.1%	3–18%
$1,600,000 — their ask	$880,000	$720,000	$95,959	1.38×	5.0%	−40% to +14%

WHAT 2.00× COVER MEANS

The rent is double the loan payment. Lenders want 1.25× and get nervous below it. At their ask the cover falls to 1.38× — thin enough that most lenders decline outright.

THE CROSSOVER IS $1,250,000

At our price the loan costs 10% against a 12% cash yield, so borrowing **adds** return. At $1.25M the yield falls to 10.6% and it is roughly neutral. Above that the debt costs more than the building earns. **The same ceiling our valuation produced, reached independently.**

AND IT IS A NEGOTIATING CARD

Because almost no buyer can finance this, **all cash in 45 days** is worth real money to a seller whose alternative is a buyer whose loan dies in diligence. Sell that hard.

What kills this deal, and why it does not.

THE REAL RISK: CAN THE TENANT PAY?

Under this lease the shop carries rent *plus* taxes, insurance and upkeep — **$193,400 a year**, or $43.95 per foot. It needs roughly **$2.15M of annual sales** to carry that comfortably.

IF THE SHOP TURNS OVER	$2.0M	$2.5M	$3.0M
Occupancy cost	9.7%	7.7%	6.4%
Verdict	Struggling	Tight	Fine

WHY IT DOES NOT SINK US

We priced the building as if the tenant were **already gone**. Our $1.1M is what it is worth let to any ordinary tenant at $22/SF. **We do not need this dispensary to survive.**

FOUR LAYERS UNDER THE PRICE

$1.11M

Market-rent value @ 8.75% cap. Our offer equals what the building fetches let to a bank or doctor. Zero exposure to the cannabis rent.

68%

Share of price covered by land + shell. $750,000 of hard asset value behind a $1.1M price.

$21.25

Break-even rent, $/SF versus a $22.00 market — and the seller's own signed comp on this road confirms $22.

2.00×

DSCR — rent ÷ debt service. Rent is double the loan payment. Lenders want 1.25×.

TWO THINGS TO CONFIRM BEFORE HARD MONEY

1. The tenant's actual sales figures — the single most valuable number in diligence.
2. Whether the lease demises all 3.13 acres. If it does, the land plan waits until 2033. *Our price does not depend on it either way.*

How wrong can we be and still be fine?

THE SAME FOUR CASES AT THREE DIFFERENT PURCHASE PRICES

CASE — 10-YR UNLEVERED IRR	AT OUR $1.10M	AT $1.25M	AT THEIR $1.60M
Floor — tenant fails, weak re-let	6.13%	3.9%	−0.6%
Base — re-let at market rent	8.40%	6.1%	1.6%
Renewal — the likeliest single outcome	14.95%	12.3%	7.4%
Growth — land let and quality re-let	18.33%	15.5%	10.2%

IF WE ARE WRONG ABOUT MARKET RENT

MARKET RENT PROVES TO BE	ANNUAL NOI	YIELD ON COST	VALUE @ 8.75% CAP
$16.00 — below anything on the road	$70,400	6.40%	$804,600
$18.00 — bottom of the range	$79,200	7.20%	$905,100
$22.00			

BOTH TESTS POINT THE SAME WAY

At our price **every outcome is positive**, from 6.1% to 18.3%. At their price the same four outcomes run −0.6% to 10.2% — two of the four lose money or barely beat cash.

The entry price, not the forecast, is what makes this work.

WHO BUYS IT FROM US IN 2033

Cannabis tenant renewed, 5 years left	$1,664,900	Cannabis specialists only — cash buyers, small pool
Re-let to a bank on a long lease	$1,320,000	**Ordinary tenant → banks will lend → the national market opens**
Re-let to a medical tenant	$1,362,600	Medical property is in stronger demand still
Empty — land and building only	$750,000	A local owner-operator or developer

THE COUNTER-INTUITIVE POINT

What we verify before a dollar is at risk.

THE TWO THAT ACTUALLY MATTER

1. The tenant's sales figures. The shop carries $193,400 a year all-in and needs roughly **$2.15M of turnover** to do it comfortably. This one number sets the renewal odds the model turns on.

2. Does the lease demise all 3.13 acres? If it does, the land plan waits until 2033. *Our price does not depend on it either way* — but the growth case does.

TENANT AND LEASE

- Full lease and every amendment; confirm who really pays for roof, structure and plant
- Both personal guarantees — what they cover, any caps, whether they burn off
- Guarantors' personal financial statements
- Tenant estoppel and the payment history since 2023

LEGAL, PLANNING AND BUILDING

- Cannabis licence status, expiry and any site-specific conditions
- Township approval, and whether the second cannabis licence is still available
- Pinelands Commission position; mains drainage or septic
- Whether a pad can be split off and built on
- The actual current tax bill, and the case for an appeal at our price
- Measure the floor area (4,400 SF claimed vs 4,206 on record)
- Roof and plant condition; environmental and boundary surveys; title

ON THE EVIDENCE BEHIND THIS DECK

Rent and sale comparables are drawn from listing platforms, brokers' announcements and published market research. **Most are asking rates and marketed prices, not verified completed deals** — the Avis and Delsea lettings and the LivWell sale are the exceptions. All should be re-run against CoStar, Crexi and county deed records during diligence. Operating costs, fit-out, void and land figures are our estimates. This is an investment analysis, not a formal valuation.

Approve $1,100,000. Hold to $1,250,000.

OFFER	CEILING	WALK AWAY	THEIR ASK
$1,100,000	**$1,250,000**	**$1,300,000**	**$1,600,000**
All cash · 30-day diligence · 15-day close	Base-case unlev. IRR ~6%. Leverage turns neutral	Above indicated value of $1,252,500	Base-case unlev. IRR 1.6%. Decline

HOW WE WIN THE NEGOTIATION

1. **Argue the rent, not the yield.** Do not debate whether 8.25% is right. Show that $30/SF is not a market rent — and use *his own* signed comp on this road, which adjusts to $21.52.

2. **Point at the county.** Camden County's own equalized value is **$1,271,000**. An independent third party already says this is not a $1.6M building.

3. **Sell certainty.** Almost nobody can finance a cannabis-let building. All cash in 45 days is worth real money against a buyer whose loan dies.

WHAT WE DO AFTER WE OWN IT

Yr 0–1	Collect $132,000. Confirm the lease boundary and the tenant's sales. Appeal the assessment.
Yr 1–3	Entitle and let a pad; licence the EV charging. Spend ~$150,000, add ~$100,000 a year.
Yr 5–7	Market 18 months early. Land a doctor or credit union on a 10–15 year lease **with increases**.
Yr 8–10	**Hold a passive, growing, mortgageable asset — or sell. Growth case exit: $2.60M.**

IN ONE LINE

A corner drive-thru at **$250 a foot**. Most of our money back before the lease ends, **all four outcomes positive (6.1% to 18.3%)**, and 2.5 acres of free optionality.

What every price on the table actually returns.

All four cases re-run at each price. Same 10-year hold, same rents, same exit cap rates — only the price changes. **Every figure in the four right-hand columns is an unlevered IRR.**

UNLEVERED IRR BY PURCHASE PRICE — 10-YEAR HOLD, ALL CASH

PURCHASE PRICE	$ / SF	GOING-IN CAP RATE	FLOOR IRR	BASE IRR	RENEWAL IRR	GROWTH IRR
$1,000,000	$227	13.20%	7.79%	10.05%	16.65%	20.02%
$1,100,000 ← OUR OFFER	$250	12.00%	6.13%	8.40%	14.95%	18.33%
$1,150,000	$261	11.48%	5.38%	7.66%	14.18%	17.57%
$1,200,000	$273	11.00%	4.69%	6.97%	13.46%	16.85%
$1,250,000 ← CEILING	$284	10.56%	4.03%	6.31%	12.78%	16.17%
$1,300,000 ← walk away	$295	10.15%	3.41%	5.69%	12.13%	15.52%
$1,400,000	$318	9.43%	2.27%	4.56%	10.94%	14.33%
$1,600,000 ← their ask	$364	8.25%	0.31%	2.59%	8.88%	12.25%

THE SAME LADDER, LEVERED AT 55% LTV / 10.0% / 25-YR AMORTISATION

PURCHASE PRICE	EQUITY IN	FLOOR LEV. IRR	BASE LEV. IRR	RENEWAL LEV. IRR	GROWTH LEV. IRR
$1,000,000	$450,000	4.07%	10.20%	22.46%	27.19%
$1,100,000 ← OUR OFFER	$495,000	−1.08%	6.29%	19.40%	24.43%
$1,250,000 ← ceiling	$562,500	−9.21%	0.82%	15.41%	20.84%
$1,600,000 ← their ask	$720,000	−39.93%	−12.13%	7.77%	14.15%

WHAT WE WOULD TRADE FOR PRICE

If the seller needs a $1.2M headline, we take it back in covenant: a **rent deposit topped up to 12 months**, a **guarantee**, or written confirmation of what the lease demises. Any one is worth more than $100,000 of price.

HOW TO READ THIS TABLE

Move down one row and every outcome gets worse — there is no price at which a weak case improves. The only question is **how much cushion we are paying away.**

WHERE THE LINES ARE

Floor-case unlevered IRR stays above 5%	to $1,150,000
Base-case unlevered IRR stays above 7%	to $1,200,000
BASE-CASE LEVERED IRR STAYS POSITIVE	to $1,250,000
Camden County equalized value	$1,271,000
Our weighted value indication	$1,252,500

Three independent lines land within $21,000 of each other at roughly $1.25M — the return maths, the county's own equalized value, and our comp-weighted indication. **That convergence is why $1,250,000 is the ceiling and $1,300,000 is a walk.**

WHY WE OPEN AT $1,100,000, NOT $1,250,000

At $1,100,000 the **floor-case unlevered IRR is 6.13%** — the deal still works even if the tenant fails and we re-let weakly. That is the entire point of the offer. Bidding at value leaves no room for the one risk we cannot diligence away: whether the cannabis operator survives seven years.

The corner is what makes the re-letting and the land plan possible.

US ROUTE 30 × COOPER FOLLY ROAD — WHAT TWO FRONTAGES BUY

ATTRIBUTE	WHY IT MATTERS	EFFECT ON OUR NUMBERS
Signage on two streets	Pylon on the highway plus building signage on the side road. Mid-block space gets one.	Rent premium — already inside the $22.00/SF conclusion
Secondary-road access	Customers enter off Cooper Folly rather than turning across highway traffic. The biggest single driver of drive-thru throughput.	Shortens the void — bank 10 months, medical 17 months
Drive-thru stacking	Three lanes need stacking depth and a clean in-and-out loop. Straightforward on a corner; often impossible mid-block.	**Puts banks, QSR, coffee and pharmacy in play at all**
Tenant type it attracts	The uses that require a corner — QSR, coffee, pharmacy, convenience, bank — are exactly the covenants that sign 10–20 year NNN leases with escalations.	Supports the one-re-letting strategy, not perpetual churn
Second access and pad	3.13 acres on a corner can yield a separate pad with its own frontage without compromising existing parking or circulation.	**Makes the $100,000/yr land income physically realistic**
Marketing period	Corner drive-thru assets on a state highway tour well and let faster than mid-block boxes on the same corridor.	Reflected in the void assumptions, not added on top

WHERE THE CORNER IS — AND IS NOT — IN THE NUMBERS

The corner premium is **already embedded** in the $22.00/SF market rent we underwrote: comp 3 (Avis, 341 N White Horse Pike) was adjusted **−10% for location** against this site precisely because it is inferior. We have taken **no separate credit** for the corner anywhere in the model. It is the reason the assumptions are achievable — not an extra line of value.

SITE FACTS

Building area	4,400 SF
Land area	3.13 acres
Building coverage	3.2% of site
SURPLUS LAND	~2.5 acres
Frontages	2
Drive-thru lanes	3
Price per SF of building	**$250.00**
Price per acre, whole site	$351,438

WE ARE BUYING BELOW REPLACEMENT COST

A 4,400 SF freestanding drive-thru building costs roughly **$300–375/SF** to build today, before land, sitework and the drive-thru infrastructure. At **$250/SF including 3.13 acres**, we buy the building for less than replacement and take the land for nothing.

WHAT THE CORNER DOES *NOT* FIX

Tenant covenant	Single-tenant cannabis operator. The corner does not make the rent safer — only easier to replace.
Lease boundary	If the lease demises all 3.13 acres, the land plan waits until 2033. **Diligence item 1.**
Pinelands	Regional Growth Area, but the pad still needs Commission sign-off and a drainage answer.